

# M&M Growth Gems & SOTP: A Scenario Framework

## — The EV Subsidiary Is the Whole Ballgame

*Bernstein India Autos | Mahindra & Mahindra (MM IN) | Institutional deep-dive, 21 August 2026. Reported actuals vs estimates flagged throughout; "c." = circa.*

### TL;DR

- **The single biggest issue in the M&M SOTP is the EV subsidiary (MEAL), carried at Rs 1,296,000mn (c.Rs 977/share, c.22% of the Rs 4,469 gross SOTP) on a "last funding round +20%/yr" mark — a methodology that MEAL's own 1 May 2026 CCPS conversion at a value of Rs 40,425cr (roughly a THIRD of the carried value) directly contradicts.** We would stop treating MEAL as a fixed high-conviction block and instead run it as the primary scenario axis, base-casing it on market EV/sales at c.Rs 500-575/share, not Rs 977.
- **The "Growth Gems" are real and delivering, but the value-creation target — per Anish Shah at Q4 FY25, "scalable growth gems with valuation targets of \$2–3 billion, and emerging growth gems on track to reach \$1 billion valuations," under a "5x Challenge" over FY25-30 — is not yet in the numbers.** We would keep the unlisted gems at c.Rs 160-225/share (1x book to private marks) in the base case and only credit the 5x target in a bull/monetisation case as IPOs (LMM in H2 2027) crystallise marks.
- **Our framework produces a bear/base/bull range of c.Rs 2,436 / Rs 3,673 / Rs 4,806, versus the current price of Rs 3,418 (21 Aug 2026) and Street targets of Rs 3,508-4,875.** The dispersion is driven almost entirely by (i) the core auto+farm multiple, (ii) the MEAL methodology, and (iii) the holdco discount — the listed subs and gems are second-order.

### Key Findings

**1. MEAL is the swing factor, and the current mark is the weakest link.** The SOTP carries Mahindra Electric Automobile Ltd (MEAL) at Rs 1,296,000mn private valuation, M&M share Rs 1,214,767mn, Rs 977/share with a 20% premium — built by applying 20% p.a. to the Aug-2023 Temasek round (Rs 80,580cr / c.US\$9.8bn). Per M&M's 1 May 2026 BSE filing (signed by Company Secretary Sailesh Kumar Daga): *"In line with the conversion mechanism agreed*

with Investors, CCPS have converted at a value of Rs. 40,425 crore... the Company's shareholding in MEAL stands diluted from existing 99.99% to 92.45%" — with equity allotted to BII India EV LLP (12.11cr shares), British International Investment Plc (9.23cr) and Temasek/Jongsong Investments (13.84cr). That Rs 40,425cr is roughly one-third of the Rs 129,600cr the SOTP carries. Even reading it as a contractual conversion-mechanism value (investors get more shares at a lower conversion price) rather than a fresh valuation, it is a glaring red flag for the funding-round-plus-20% approach — and it is the only hard, transaction-based datapoint on MEAL's equity value.

**2. The stake in the SOTP (78%) is stale; M&M actually holds 92.45% of MEAL.** The math in the SOTP (Rs 1,214,767 / Rs 1,296,000 = 93.7%) is closer to the true post-conversion 92.45% than to the "78%" label — the label appears to be an error. Either way, the equity-value block should be re-derived off 92.45% and a defensible valuation base.

**3. Core auto+farm is firing.** FY26 (reported): consolidated revenue Rs 198,639cr (+25%), consolidated PAT Rs 17,099cr (+35% ex one-offs), [Autoguideindia](#) ROE 20.1%, EPS Rs 152.2. [Autocar Professional](#) Standalone PAT Rs 15,639cr, standalone EPS Rs 130.18. SUV #1 at 25.3% revenue share, [EMobility+](#) tractors 43.6% (highest-ever full-year), LCV <3.5T 52.3%, EV 3W 40%. Q4FY26 standalone EBITDA margin 14.1%; [Amazonaws](#) auto EBIT 9.5%, farm PBIT 19.4%. [Amazonaws](#) 18x FY28 for the core is fair-to-slightly-full versus history and peers.

**4. Growth Gems: the taxonomy is now formal.** Per Anish Shah at the Q4 FY25 earnings (5 May 2025) and reaffirmed at the Nov-2025 Investor Day, M&M splits gems into **Scalable Growth Gems** (target US\$2-3bn each: Last Mile Mobility, Trucks & Buses, Susten, Logistics, Club Mahindra/Hospitality, Lifespaces/Real Estate) and **Emerging Growth Gems** (target US\$1bn: Accelo, Aerostructures, Classic Legends, Car&Bike). The ambition is a "5x Challenge" over FY25-30 with each scalable gem "targeted to reach a valuation of \$2+ billion each by 2030." Per Autocar Professional's Nov-2025 Investor Day coverage, the gems' share of group market capitalisation "*grew sevenfold between March 2020 and November 2025, reaching a market cap of Rs 56,000 crore.*"

**5. Management's capital-allocation credibility is earned.** Under Anish Shah, M&M exited c.15 underperforming businesses [Business Today](#) (SsangYong/now KG Mobility, Peugeot Motocycles, US farm restructuring, Sampo Rosenlew put up for sale in 2025), hit its 18% ROE target within c.18 months, [Business Today](#) and now runs a hard 18% ROE hurdle with turn-around-or-exit discipline. This is the single best reason to give the gems and MEAL the benefit of the doubt in a bull case — but not to carry MEAL at c.3x its own conversion mark.

## Details

## A. Growth Gems — sizing, ownership, funding marks

| Gem                                         | Category | M&M stake            | Latest external mark / event                                                                                                                                                            | Key operating data                                                                                                                                                                                                                   |
|---------------------------------------------|----------|----------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Mahindra Last Mile Mobility (LMM)</b>    | Scalable | 75.79% (post Jul-26) | <b>Rs 10,822cr (c.US\$1.24bn) — Lightrock-led Rs 322cr round, 30 Jul 2026</b><br>(with IFC + India-Japan Fund/NIIF); prior IFC Rs 600cr at up to Rs 6,020cr (2023). IPO planned H2 2027 | Per M&M: “first electric commercial vehicle manufacturer in India to cross cumulative sales of 100,000 electric three-wheelers during FY2026”; c.40% L5 share; 85% YoY Q1FY27 volume growth; FY25 EV volumes 78,678 (vs 16,945 FY22) |
| <b>Mahindra Susten (renewables)</b>         | Scalable | c.70%                | OTPP bought 30% at equity value Rs 2,371cr (US\$300m), Sep 2022; Rs 1,799.61cr rights issue at Rs 60.40/sh, Aug 2025; InvIT planned                                                     | Scale-up 1.5GW→7GW; “5x by 2030”                                                                                                                                                                                                     |
| <b>Mahindra Accelo (steel/recycling)</b>    | Emerging | majority             | —                                                                                                                                                                                       | Targeting largest organised vehicle recycler, c.25% share by FY28                                                                                                                                                                    |
| <b>Mahindra Aerostructures</b>              | Emerging | 100%                 | —                                                                                                                                                                                       | Preferred aero component supplier                                                                                                                                                                                                    |
| <b>Classic Legends (Jawa/Yezdi/BSA)</b>     | Emerging | majority             | —                                                                                                                                                                                       | BSA Goldstar 650 award-winning; scaling exports                                                                                                                                                                                      |
| <b>Mahindra First Choice / Car&amp;Bike</b> | Emerging | majority             | —                                                                                                                                                                                       | “Content-to-commerce” used-vehicle platform                                                                                                                                                                                          |
|                                             |          |                      |                                                                                                                                                                                         |                                                                                                                                                                                                                                      |

|                                           |          |          |                                          |                                                 |
|-------------------------------------------|----------|----------|------------------------------------------|-------------------------------------------------|
| <b>Mahindra Trucks &amp; Buses (+SML)</b> | Scalable | majority | SML (Swaraj Mazda) acquisition completed | Target top-3 ILCV; Rs 15,000cr business by FY31 |
|-------------------------------------------|----------|----------|------------------------------------------|-------------------------------------------------|

Listed gems already in the SOTP separately: **Mahindra Logistics** (58%), **Mahindra Lifespaces** (51%), **Mahindra Holidays/Club Mahindra** (67%).

**What the value-creation target is worth if delivered.** The unlisted gems are carried inside “Other investments” at 1x FY26 book = Rs 199,487mn = Rs 160/share. Marking to the latest private rounds (LMM alone: Rs 10,822cr × 75.79% = c.Rs 8,200cr = c.Rs 68/share; Susten c.Rs 7,000cr M&M share = c.Rs 58/share) lifts the unlisted bucket toward Rs 190-225/share. If the “US\$2bn+ per scalable gem / 5x by FY30” ambition were fully crystallised via IPOs, the unlisted gems could plausibly be worth Rs 280-350/share — but that is a FY30 outcome contingent on execution and listing, not a today number.

## B. MEAL — the biggest swing factor

### Funding history (reported):

- BII: Rs 1,925cr committed [business-standard](#) (final tranche cut to Rs 650cr, total Rs 1,850cr by Mar-2025) [business-standard](#) at Rs 70,070cr (c.US\$9.1bn), Jul 2022.
- Temasek: per Business Standard (3 Aug 2023), invested “Rs 1,200 crore in the form of compulsorily convertible preference shares, valuing MEAL at Rs 80,580 crore” — “15 per cent more than the Rs 70,070 valuation MEAL fetched last year when British International Investment (BII) had invested.”
- CCPS converted 1 May 2026 at a value of Rs 40,425cr; M&M 99.99% → 92.45%.

**Operating performance (reported/derived):** BE 6, XEV 9e, XEV 9S on the INGLO platform; cumulative Born-Electric sales crossed 50,000 by c.Mar 2026; [Cartoq](#) monthly run-rate c.5,000-6,000; Chakan capacity expanded to 8,000/month from Mar 2026; [Cartoq](#) e-PV market share c.19% (Oct 2025). [Autocar Professional](#) EV-business FY26 revenue c.Rs 14,111cr (sum of quarters), EBITDA c.Rs 1,314cr (incl. contract mfg), PBIT +Rs 287cr (full-year positive, largely on scale + PLI). [Investing.com](#) e-SUV end-to-end EBITDA margin 9.1%, EBIT 2.0%. [Mahindra](#) Target: 20-30% of SUV sales EV by FY30 (pushed back from FY27). [Just Auto](#)

**Is “+20%/yr on the last round” defensible? No.** It is a mark that (i) has never been tested by a fresh priced round, (ii) is now contradicted by MEAL’s own CCPS conversion value (Rs 40,425cr), and (iii) sits far above where the listed EV read-across trades. Ola Electric — the only listed Indian EV pure-play — trades at c.5.4x FY26 EV/sales [marketscreener](#) (4.03x FY27, per MarketScreener) while deeply loss-making (market cap c.Rs 17,565cr; Emkay

downgraded to 'Sell' in Feb-2026, cutting its TP c.60% to Rs 20 after a Rs 487cr Q3 FY26 net loss and 61% volume decline). Tata's TPEM was marked at c.US\$9.1bn in the Jan-2023 TPG Rise round (Rs 7,500cr for the stake) [Myautoworld](#) on a much larger, market-leading base (c.68-70% India EV PV share). Global EV pure-plays span a wide range (Li Auto/XPeng low-single-digit forward EV/sales; NIO c.1x; Rivian/Lucid higher on hope).

**Market-based MEAL valuation (our base):** On FY26 EV revenue c.Rs 14,111cr at 3x EV/sales = c.Rs 42,000cr; on FY28 EV revenue (scaling) at 3x = c.Rs 66,000-75,000cr. M&M's 92.45% = c.Rs 61,000-69,000cr = c.Rs 500-575/share. That is roughly half the Rs 977/share in the current SOTP.

MEAL valuation ladder (M&M 92.45%, c.1,203mn M&M shares):

- **Stress/write-down to CCPS conversion mark:** Rs 40,425cr → c.Rs 300/share
- **Base (market EV/sales 3x):** c.Rs 60-69,000cr → c.Rs 500-575/share
- **Bull (funding-round +20%/yr, status quo):** Rs 129,600cr → Rs 977/share
- **Blue sky (MEAL IPO at premium):** c.Rs 1,100-1,150/share

## C. Structure, holdco discount, listed subs

**Data hygiene — refresh points (latest available, Aug 2026):**

- M&M: price Rs 3,418, mcap c.Rs 411,353cr, 52wk Rs 2,896-3,840, [Tickertape](#) shares c.1,203mn (the SOTP's implied c.1,243mn is c.3% high), PE c.24x.
- MMFS: price c.Rs 398, mcap c.Rs 55,376cr (Aug 5) [INDmoney](#) — above the Rs 495,525mn (Rs 49,553cr) in the SOTP; refresh the 52% block upward.
- TechM: price c.Rs 1,590, mcap c.Rs 141,000-155,800cr — broadly consistent with the Rs 1,530,000mn (Rs 153,000cr) in the SOTP.
- Mahindra Lifespaces: mcap c.Rs 7,700-8,500cr (SOTP Rs 79,929mn = Rs 7,993cr; consistent).
- Mahindra Holidays: mcap c.Rs 6,100-6,700cr (SOTP Rs 44,220mn = Rs 4,422cr; refresh upward).
- Mahindra Logistics: mcap c.Rs 4,100cr region (rights issue completed FY26); refresh.

**Holdco discount.** Indian holdcos trade at deep 50-80% discounts to NAV [Darkhorsestocks](#) (Bajaj Holdings c.60%+), [business-standard](#) versus 5-20% globally [Darkhorsestocks](#) — but those are pure holding companies. M&M is a large operating company with a subsidiary tail, so the SOTP's 10% blanket discount is a different animal and is, if anything, generous to the bull case. Historically the market has given M&M limited credit for the unlisted tail (ICICI

notes standalone return ratios look "optically muted" due to the quantum of subsidiary investments). business-standard We would flex 0/10/20/30% across scenarios, and additionally hold TechM at a c.30% discount in the bear case (a non-core, minority-controlled, structurally slower asset the market treats at a discount inside M&M).

**Value-unlock optionality.** LMM IPO (H2 2027) is the nearest catalyst; Susten InvIT and further gem listings follow. Each crystallised listing narrows the holdco discount and converts a book mark into a market mark. Precedent unlocks (Tata Motors CV/PV demerger Oct 2025, ITC Hotels demerger, Hyundai Motor India IPO, Mahindra Logistics' own 2017 listing) show announcement-to-completion re-ratings accrue mostly at crystallisation, not announcement.

## D. Broker landscape (2026)

| Broker         | Rating                       | TP (Rs)                     | Approach notes                                                        |
|----------------|------------------------------|-----------------------------|-----------------------------------------------------------------------|
| Nomura         | Buy (top OEM pick)           | 4,355 →<br>4,662 →<br>4,875 | 16x FY28F EV/EBITDA SOTP; bullish XEV 9S                              |
| CLSA           | Outperform / High-Conviction | 4,279 →<br>4,588 →<br>4,702 | 17% FY26-28 EBITDA CAGR                                               |
| Jefferies      | Buy                          | 4,500                       | Consistent earnings delivery                                          |
| Morgan Stanley | Overweight                   | 3,919-4,300                 | Raised tractor industry CAGR to 9%                                    |
| Motilal Oswal  | Buy                          | 3,963 →<br>4,108 →<br>4,521 | Mar'28E SOTP; 14% UV volume CAGR FY25-28                              |
| HSBC           | Buy                          | 4,200-4,250                 | Mid-to-high-teens SUV growth                                          |
| Nuvama         | Buy                          | 3,800                       | 25x core FY28 EPS + Rs 580/sh aggregate subsidiary "investment value" |
| Geojit         | —                            | 3,508                       | Core at 19x FY28E                                                     |
| ICICI Direct   | Buy                          | 4,000                       | —                                                                     |

Consensus: c.38 analysts, average TP c.Rs 4,318, range Rs 3,030-5,005; overwhelmingly

Buy. Dispersion is driven by the core multiple (16x EV/EBITDA vs 25x core P/E) and how much credit each gives the subsidiary/EV tail. Critically, **no broker in accessible notes discloses a standalone MEAL valuation line** — the EV subsidiary is bundled (Nuvama's Rs 580/share aggregate "investment value" is the closest proxy). That is precisely the analytical gap a Bernstein SOTP can exploit.

## The Scenario Framework (the deliverable)

Build the M&M SOTP on six explicit axes and publish a five-case grid. Illustrative per-share contributions (shares c.1,203mn; FY28 core EPS c.Rs 147):

| Building block                                          | Stress                             | Bear                 | Base                             | Bull                    | Blue sky                  |
|---------------------------------------------------------|------------------------------------|----------------------|----------------------------------|-------------------------|---------------------------|
| <b>Core auto+farm</b><br>(multiple × EPS)               | 12x, -15%<br>→ 1,500               | 14x, -10%<br>→ 2,058 | 18x,<br>cons →<br>2,642          | 20x, +5% →<br>3,082     | 22x,<br>+10% →<br>3,560   |
| <b>Listed subs</b> (MMFS, TechM, MahLog, MahLife, MHRL) | no prem,<br>TechM<br>-30% →<br>480 | no prem →<br>527     | with<br>control<br>prem →<br>689 | re-rate →<br>720        | re-rate<br>→ 750          |
| <b>MEAL</b> (92.45%)                                    | CCPS<br>mark →<br>250              | conversion<br>→ 300  | EV/sales<br>3x →<br>550          | funding-<br>round → 977 | IPO<br>premium<br>→ 1,150 |
| <b>Unlisted gems</b>                                    | 1x book →<br>160                   | 1x book →<br>160     | private<br>marks →<br>200        | monetisation<br>→ 280   | gem<br>IPOs →<br>350      |
| <b>Gross SOTP</b>                                       | 2,390                              | 3,045                | 4,081                            | 5,059                   | 5,810                     |
| <b>Holdco discount</b>                                  | 25%                                | 20%                  | 10%                              | 5%                      | 0%                        |
| <b>Target/share</b>                                     | <b>1,793</b>                       | <b>2,436</b>         | <b>3,673</b>                     | <b>4,806</b>            | <b>5,810</b>              |

**Read-through:** the base case of c.Rs 3,673 sits c.7% above the current Rs 3,418 and below Street's c.Rs 4,318 average — the gap versus the Street is almost entirely explained by (a) our lower MEAL mark (Rs 550 vs an implied c.Rs 977 in the fuller SOTPs) and (b) our 10% vs frequently-nil holdco discount. The bull case reconciles to the top of the Street range only if you accept the funding-round MEAL mark.

**How to use the six axes:**

- (a) *Core multiple/EPS* — 14x/18x/22x FY28 × (consensus ±10%). Highest single contributor to spread.
- (b) *MEAL methodology* — CCPS conversion mark (stress) / market EV/sales 3x (base) / funding-round +20% (bull) / IPO premium (blue sky). Second-highest.
- (c) *Growth Gems* — 1x book (status quo) / private-market comps / IPO-listing marks (monetisation). The “US\$2bn+ / 5x” target ≈ Rs 280-350/share only if delivered.
- (d) *Listed subs* — mark-to-market ± control premium; apply a stake-level discount (esp. TechM) in bear cases.
- (e) *Holdco discount* — 0/10/20/30%.
- (f) *Structure events* — LMM IPO (H2-27), Susten InvIT, MEAL priced round/IPO, TechM stake reduction, buyback. Each is a discrete re-rating trigger that should shift both a block value and the discount.

## Recommendations

1. **Re-cut MEAL as the primary scenario axis, not a fixed block.** Base-case it at market EV/sales (c.Rs 500-575/share on 92.45%), explicitly footnote the Rs 40,425cr CCPS conversion value as the downside anchor, and reserve the Rs 977 funding-round mark for the bull case only. This one change moves the base SOTP by c.Rs 400/share versus the current construction — the highest-leverage edit in the whole model.
2. **Fix the mechanical inputs:** update MEAL to 92.45%, refresh MMFS (Rs 55,376cr), Holidays and Logistics market caps upward, and correct the share count to c.1,203mn (the current c.1,243mn overstates the base).
3. **Keep the unlisted gems at 1x book to private marks (Rs 160-225/share) in the base;** credit the “5x / US\$2bn” ambition only as LMM’s H2-2027 IPO and the Susten InvIT convert book to market. Track LMM (Rs 10,822cr mark) and Susten as the leading indicators.
4. **Hold the holdco discount at 10% base, and flex 0-30%.** Move toward 5% as gem IPOs are announced; move toward 20%+ if MEAL disappoints or capital is redeployed into new loss-making bets (e.g., the Manulife 50:50 life-insurance JV, each partner up to US\$400m).
5. **Benchmarks that change the call:** (i) a fresh priced MEAL round or IPO price — the definitive test of the Rs 977 mark; (ii) monthly Born-Electric volumes sustaining >6,000 and EV margins turning consistently EBIT-positive; (iii) LMM IPO valuation vs the Rs 10,822cr mark; (iv) core SUV/tractor share and margin trajectory versus the 18x FY28

core multiple. A confirmed MEAL mark near the funding round would justify moving base toward Rs 4,300–4,500; a mark near the conversion value caps fair value nearer Rs 3,200–3,400.

## Caveats

- The Rs 40,425cr MEAL CCPS conversion value is disclosed only in the terse 1 May 2026 filing with no company or broker explanation; it is best read as a contractual conversion-mechanism value, and the “one-third of carried value” framing is our inference, not a company-confirmed revaluation. But it is the only hard, transaction-based datapoint on MEAL’s equity value and cannot be ignored.
- MEAL standalone full-year FY26 net profit/loss is not published as a clean line; the “EV business” figures blend MEAL with e-SUV contract manufacturing and PLI. Distinguish the two carefully.
- Several subsidiary market caps and the exact Mahindra Logistics figure are as of scattered 2026 dates; refresh to a single trading-date snapshot before publishing.
- Per-share scenario contributions are illustrative anchors built off the analyst’s own SOTP blocks and market comps, not a fully rebuilt model; the multiples/marks are defensible ranges, not point forecasts.
- BII’s total investment is reported as Rs 1,925cr committed / Rs 1,850cr final — minor discrepancy versus the headline; the original fully-diluted ownership ranges (BII 2.75–4.76%, Temasek 1.49–2.97%) business-standard and the final c.7.55% combined dilution sitting at/above the top of those bands are consistent with a lower conversion valuation maximising investor shares.

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## Selected sources (with dates)

- M&M BSE filing on MEAL CCPS conversion (1 May 2026); M&M press releases: Temasek investment (3 Aug 2023), BII (Jul 2022; final tranche 30 Dec 2024), LMM Lightrock round (30 Jul 2026), IFC LMM (22 Mar 2023 / 11 Oct 2023), Q4 & FY26 results (5 May 2026), Q1–Q3 FY26 results; OTPP–Susten (17 Sep 2022).
- Investor Day / Growth Gems: Autocar Professional (5 May 2025; 20 Nov 2025), Mahindra Investor Day deck (May 2024), Upstox/Nomura/Morgan Stanley Investor-Day notes (Nov 2025).
- Financials & prices: Business Standard, Screener.in, Tickertape, Groww, Yahoo Finance, INDmoney, MarketScreener, Kotak Neo (Aug 2026 snapshots).

- Brokers: Nomura (28 Nov 2025), CLSA, Jefferies, Morgan Stanley (17 Apr 2026), Motilal Oswal (TP Rs 3,963/4,108/4,521), HSBC, Nuvama (6 May 2026), ICICI Direct (Q4FY26), Geojit; consensus via [valueinvesting.io/investing.com](https://valueinvesting.io/investing.com).
- Read-across: Tata Motors/TPEM–TPG Rise (Jan 2023), Ola Electric (MarketScreener, Screener.in, Emkay Feb 2026); holdco discounts (2point2 Capital, Incwert, Business Standard).
- Capital-allocation history: Business Today (3 Apr 2026), M&M Q1 FY24 call (4 Aug 2023), ICRA, Autocar India (SsangYong exit).